

taxes between selling short-term shares at a \$240 gain and selling short-term shares at a \$300 loss is \$189 (\$84 + \$105).

On the same day you sell VTI, you buy \$2,700 of IWV to maintain a consistent asset allocation. The net result of the transaction is to harvest a tax loss of \$300 that you can write off against income taxes while remaining 100 percent invested in a broad market index fund.

There are a couple of issues surrounding tax-swapping that you should consider before you try this strategy. First, depending on where you trade, commissions and other fees may reduce the effectiveness of a tax swap. Second, since the IRS has not addressed tax swapping in mutual funds and ETFs, there is no clear definition of what “substantially identical” means to fund investors. Accordingly, consult your tax advisor before using tax swaps in a portfolio. His or her interpretation of the tax code may differ from mine.

INDEX FUNDS—LOW FEES AND LOW TAXES

Throughout this book, I have made numerous references to index mutual funds and exchange-traded funds (ETFs). An index fund is a mutual fund or ETF that seeks to replicate the return of a particular market index. Index funds have low expenses compared to actively managed funds and have lower turnover of securities in the portfolio, which also keeps costs low.

Index funds and ETFs have a large following among institutional investors such as pension funds and insurance companies. Ironically, one of the most vocal advocates of index funds for individual investors is Warren Buffett, self-made billionaire and chairman of Berkshire Hathaway, Inc. Although Buffett made his fortune through individual stock selection, in the 2004 annual report of Berkshire Hathaway, he explains in no uncertain words why individual investors should be buying and holding index funds:

Over the [past] 35 years, American business has delivered terrific results. It should therefore have been easy for investors to earn juicy returns: All they had to do was piggyback Corporate America in a diversified, low-expense way. An index fund that they never touched would have done the job. Instead many investors have had experiences ranging from mediocre to disastrous.